eclipsed the foreign aid India provided to Nepal.[50] This is evidence that China certainly made an attempt at increasing its footprint in India's neigh-bourhood through proxy balancing and public-goods substitution, but the support to other countries in the region did not in any way resemble its assistance to Pakistan.

The Sino–Indian relationship was still one of rivalry, with China actively seeking to hem in India's influence, but in the 1970s, the rivalry took on the form of a more stable positioning shaped by the two Cold War strategic triangles, the US–China–Soviet triangle and the Soviet–India–China triangle. Despite China's relationship with the United States enabling it access to Western capital and technology from the late 1970s onwards, at the end of the Cold War, China's GDP was still only twice the size of that of India (see Figure 2.1). In addition, Soviet support contributed to India's military expenditure, almost levelling out China's expenditure. According to Stockholm International Peace Research Institute (SIPRI) figures, in 1989, China's and India's military expenditure stood at USD 11 and 10 billion, respectively.[51] India's military build-up had also made it a match for the PLA on the Himalayan front.[52]